

Contestant Number: _____

Time: _____

Rank: _____



FUNDAMENTAL ACCOUNTING (100) —Secondary— **STATE – 2020**

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (13 @ 3 points each) _____ (39 points)

Job 1: Special Journals (20 @ 2 point each) _____ (40 points)

Job 2: Adjusting Entries (21 @ 1 point each) _____ (21 points)

Job 3: Closing Entries (25 @ 1 point each) _____ (25 points)

TOTAL POINTS _____ ***(185 points)***

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should NOT appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Directions: Read each question carefully and place the answer that best matches the question or statement on the Scantron sheet or directly on the test copy.

1. Which of the following statements is true?
 - a. The Income Summary account has a normal debit balance.
 - b. The Income Summary account has a normal credit balance.
 - c. The Income Summary account is an Owner's Equity account.
 - d. The Income Summary account is used throughout the accounting period.
2. Net sales is found by
 - a. adding Sales Discount to Sales.
 - b. adding the sum of Sales Discount and Sales Returns to Sales.
 - c. subtracting the sum of Sales Discount and Sales Returns from Sales.
 - d. subtracting Sales Returns and adding Sales Discounts to Sales.
3. Which of the following transactions would affect only the assets of the business?
 - a. receiving cash on account from a customer
 - b. the purchase of a computer on credit
 - c. the investment of cash by the owner
 - d. the withdrawal of cash by the owner
4. Unearned Revenue will appear on the
 - a. Balance Sheet in the current assets section.
 - b. Balance Sheet as a current liability.
 - c. Balance Sheet in the owner's equity section.
 - d. Income Statement as revenue.
5. When a business pays a vendor on account, the affected accounts are
 - a. Purchases and Cash.
 - b. Accounts Receivable and Sales.
 - c. Cash and Accounts Payable.
 - d. Accounts Receivable and Cash.
6. What type of account is Sales Returns & Allowances?
 - a. contra revenue account
 - b. controlling account
 - c. contra owner's equity account
 - d. subsidiary account

7. Which of the following long-term/plant asset accounts will not have a related contra asset account?
 - a. Equipment
 - b. Building
 - c. Office Furniture
 - d. Land
8. Which of the following would be considered merchandise?
 - a. the display cases in the store
 - b. the desks and computers in the office
 - c. the items on the shelves in the store
 - d. the supplies in the supply room
9. All of the following are permanent accounts *except*
 - a. Retained Earnings
 - b. Income Summary
 - c. Merchandise Inventory
 - d. Accounts Payable
10. The journal entry to record a particular business transaction included a credit to Accounts Receivable. This transaction is most likely also to include
 - a. a debit to cash.
 - b. a credit to cash.
 - c. a debit to sales.
 - d. a credit to sales.
11. The primary difference between the Income Statement of a service business and a merchandising business is
 - a. the number of owners.
 - b. the expense accounts.
 - c. the component percentages.
 - d. the cost of merchandise sold section.
12. The time period used to distinguish current assets from long-term assets is
 - a. one month.
 - b. six months.
 - c. one year.
 - d. two years.
13. Cost of Merchandise sold is determined by taking the cost of merchandise available for sale and deducting
 - a. beginning inventory.
 - b. ending inventory.
 - c. cost of merchandise purchased.
 - d. the balance of accounts receivable.

14. A withdrawal of cash by the owner of the company will be found in which journal?
 - a. Cash receipts journal
 - b. Cash payments journal
 - c. Sales journal
 - d. General journal
15. If a partnership agreement does not specify how profits and losses are to be distributed, how will the distribution of net profit or loss be calculated?
 - a. equal division of profit or loss
 - b. according to the partners' investment in the business
 - c. according to the partners' working hours in the business
 - d. mutual agreement by the partners
16. A sale of merchandise for cash should be recorded in which of the following journals?
 - a. Sales journal
 - b. Purchases journal
 - c. Cash Payments journal
 - d. Cash Receipts journal
17. In the multi-step Income Statement, Sales minus Cost of Merchandise Sold equals
 - a. gross profit.
 - b. net profit.
 - c. net sales.
 - d. net income from operations.
18. A sales discount is given to customers
 - a. because the seller does not want to print a new catalog to show new prices.
 - b. to encourage prompt payment of invoices.
 - c. to encourage customers to pay cash for their purchases.
 - d. none of the above
19. The Capital shown on the Balance Sheet for a sole proprietorship equals
 - a. beginning Capital plus drawing minus net loss
 - b. beginning Capital minus drawing and net income
 - c. beginning Capital plus drawing and net income
 - d. beginning Capital minus drawing and net loss
20. If long-term assets are not adjusted, expenses on the Income Statement
 - a. will be understated.
 - b. will be overstated.
 - c. will not be affected.
 - d. may be either overstated or understated.

21. The beginning merchandise inventory plus the net delivered cost of purchases minus the ending merchandise inventory equals the
 - a. total merchandise available for sale.
 - b. cost of merchandise sold.
 - c. gross profit.
 - d. net profit.
22. Merchandise is sold on account for \$2,500 in a state that has a 5.75 percent sales tax rate. The entry in the sales journal will include a credit to Sales for
 - a. \$ 28.75
 - b. \$2,356.25
 - c. \$2,500.00
 - d. \$3,937.50
23. Social Security Tax and Medicare Tax are paid by
 - a. only the employee.
 - b. only the employer.
 - c. both the employee and the employer.
 - d. neither the employee or the employer.
24. In the credit terms 3/10, 2/15, n/60, the 2 represents the
 - a. number of days in the discount period.
 - b. full amount of the invoice.
 - c. number of days when the entire amount is due.
 - d. percent of the cash discount.
25. A purchase of merchandise on account should be recorded in which of the following journals?
 - a. Sales journal
 - b. Purchases journal
 - c. Cash Receipts journal
 - d. Cash Payments journal
26. The Accounts Receivable account in the general ledger is an example of a
 - a. contra account.
 - b. controlling account.
 - c. special account.
 - d. subsidiary account.
27. Current assets include such asset as
 - a. cash, prepaid insurance, and merchandise inventory.
 - b. cash, prepaid insurance, and equipment.
 - c. cash, merchandise inventory, and delivery equipment.
 - d. cash, supplies, and office furniture.

28. To calculate the book value of an asset you
 - a. subtract salvage value from the original cost.
 - b. subtract annual depreciation from original cost.
 - c. subtract accumulated depreciation from the original cost.
 - d. subtract the current market value from the original cost.
29. To verify that debits and credits in the general ledger equal a _____ is prepared.
 - a. Trial Balance
 - b. Balance Sheet
 - c. Income Statement
 - d. Statement of Owner's Equity
30. Depreciation expense is calculated using all of the following amounts *except*
 - a. historical cost.
 - b. useful life.
 - c. salvage value.
 - d. fair market value.

SHORT ANSWER

1. On March 31, the general ledger of Paris, Inc., showed the following balances: Purchases, \$36,000; Purchases Discounts, \$2,350; and Purchases Returns and Allowances, \$1,175. Calculate the net purchases for the month of March.

1. _____

2. Paris, Inc. purchased \$14,600 worth of merchandise from a company that offered trade discounts of 28%, 16%. How much will they send the vendor at the time of payment?

2. _____

3. On July 1, 2019, Paris, Inc. purchased a new truck for \$48,000. The truck had a 6-year useful life and a \$6,000 salvage value. Using the straight-line method of depreciation, calculate the depreciation expense for 2019.

3. _____

4. Paris, Inc. signs a promissory note with Greylock Bank on August 8. The note is a 180-day note, 5.75% note for \$8,875.

What is the maturity date of the note? 4a. _____

What is the interest on the note? 4b. _____

What is the maturity value of the note? 4c. _____

Would this note require an adjusting entry at the end of the fiscal period ending December 31? 4d. _____

5. Paris, Inc. offers credit customers terms of 2/10, n/30 on their invoices. If a customer, who had an invoice for \$960,000 dated May 9, paid the invoice on May 17, how much would they send Paris, Inc. in payment of the invoice?

5. _____

6. Paris, Inc. had the following balances at the end of the fiscal period:

Merchandise Inventory, Jan. 1	\$120,000
Merchandise Inventory, Dec. 31	44,000
Purchases	290,000
Purchases Discounts	11,000
Purchases Returns & Allowances	8,500
Sales	436,000
Sales Discounts	13,900
Sales Returns & Allowances	10,640
Total Operating Expenses	86,400

What is the amount of net sales for the fiscal period? 6a. _____

What is the amount of net purchases for the fiscal period? 6b. _____

What is the Cost of Merchandise Sold for the fiscal period? 6c. _____

What is the gross profit for the fiscal period? 6d. _____

What is the net profit for the fiscal period? 6e. _____

JOB 1 – SPECIAL JOURNALS

Directions: Use the following codes to identify which special journal the following transactions would be recorded in.

P	-	Purchases Journal
S	-	Sales Journal
CP	-	Cash Payments
CR	-	Cash Receipts
G	-	General Journal

Transactions:

- _____ 1. Sold merchandise for cash.
- _____ 2. Received an additional cash investment from the owner.
- _____ 3. EFT a payment to a creditor on account.
- _____ 4. Purchased merchandise on account.
- _____ 5. The owner withdrew merchandise from the business.
- _____ 6. Gave a customer an allowance for merchandise returned.
- _____ 7. An audit discovered an error in recording a transaction.
- _____ 8. Completed the adjusting entries at the end of the fiscal period.
- _____ 9. Allowed a discount on the sale of merchandise on account.
- _____ 10. Paid for advertising on the radio.
- _____ 11. Received payment from credit customers on account.
- _____ 12. The company returned merchandise to a vendor that was damaged.
- _____ 13. Sold an old clothes rack for cash.
- _____ 14. Purchased merchandise for cash.
- _____ 15. Purchased a new display case on account.
- _____ 16. Received payment in advance from a customer for services not yet rendered.
- _____ 17. Completed the closing entries for the end of the fiscal period.
- _____ 18. Purchased supplies on account.
- _____ 19. Issued a check to remit the sales tax to the state tax office.
- _____ 20. Sold merchandise on account to a credit customer, including sales tax.

JOB 2 – ADJUSTING ENTRIES

Directions: Using the information below record the adjusting entries for the fiscal period ending December 31, 2019, in the general journal provided on the last page of this test.

- Dec. 31 The Supplies account has a debit balance of \$1,400. An inventory of the supplies at the end of the fiscal period shows \$535 in supplies on hand. Record the adjustment to bring the supplies account up-to-date.
- 31 On September 1, the company paid \$1,800 for 6-months of insurance in advance. Record the adjusting entry to show the expired insurance for the fiscal period.
- 31 On December 1, the company paid \$600 for 3-months of radio advertising. Record the adjusting entry to show the amount of advertising applicable to this fiscal period.
- 31 The beginning balance as of January 1 in Merchandise Inventory was \$122,400. After completing a physical inventory, it was determined that there is \$136,900 in merchandise inventory at the end of the fiscal period, December 31. Record the adjusting entry to bring the Merchandise Inventory account up-to-date.

JOB 3 – CLOSING ENTRIES

Directions: Using the information below from the Adjusted Trial Balance journalize the four closing entries for the fiscal period ending December 31, 2019, use the general journal provided on the last page of this test. Record them below the adjusting entries.

Account Title	Adjusted Trial Balance	
	Debit	Credit
Cash	16,500	
Accounts Receivable	7,000	
Supplies	6,000	
Equipment	38,500	
Accum. Depreciation-Equip.		5,000
Accounts Payable		9,000
Wages Payable		3,000
G. Paris, Capital		28,000
G. Paris, Drawing	12,000	
Sales		59,500
Depreciation Expense	2,500	
Rent Expense	18,000	
Wages Expense	4,000	
Totals	104,500	104,500

General Journal

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